

DEAL INTELLIGENCE

Prologis's Third Bid for Segro Shows Time Is the Costliest Capital

The clock on Segro's independence is ticking as Prologis uses patience and price to force a decision.

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A source-grounded Light Tower Insight. The complete note follows.

The third bid is not the story. The clock is.

Prologis raised its offer for Segro to roughly £13.5 billion, or about \$18.2 billion, on Monday, a 9.7% premium to Segro's estimated net asset value as of the end of June. Segro's board unanimously rejected it again, calling the bid opportunistic. But the London-based REIT has not walked away from the table. It remains open to further engagement, according to The Wall Street Journal.

The market meaning is not that Prologis wants Segro. It is that Prologis is willing to pay more and wait longer, and that waiting has a cost.

Time is the most expensive capital in this transaction. Every month Segro stays independent, its shareholders absorb the risk that Prologis walks away, that another bidder does not emerge, and that the premium embedded in Segro's share price—up 21% since the first bid was disclosed on June 24—evaporates. The clock is not on Prologis's side. It is on Segro's.

The revised terms reveal the mechanism. Prologis increased the stock component to 0.089 new Prologis shares for each Segro share, a 6% increase over the initial proposal. It added a partial cash option of up to £2.7 billion, or about \$3.6 billion. Existing Segro shareholders would own roughly a 9.2% stake in Prologis. Prologis also said it would explore a secondary listing on the London Stock Exchange to reassure UK investors.

These are not concessions. They are structural adjustments designed to reduce the friction that keeps Segro's board from saying yes. The cash option gives liquidity to shareholders who do not want Prologis stock. The London listing gives UK institutional investors a local trading venue. The higher stock ratio gives Segro holders a larger piece of the combined entity's future cash flow.

Prologis is not negotiating price alone. It is negotiating the cost of time for Segro's shareholders.

Segro's board argues that the bid is opportunistic and that the company can deliver better value as a standalone entity. That may be true on a five-year strategic plan. But the market is pricing Segro today as if the deal closes. The 21% share price jump since June 24 is a vote of confidence in the bid, not in Segro's standalone thesis. If the deal collapses, that premium unwinds. Segro's board is betting that its

shareholders have the patience to wait for organic value creation. Prologis is betting they do not.

The cast here is not two companies. It is two sets of shareholders with different time horizons. Segro's institutional holders, many of them UK pension funds and insurers, have long-dated liabilities and can afford to wait. But they also have a fiduciary duty to consider a premium today versus an uncertain premium tomorrow. Prologis's shareholders, by contrast, are backing a platform that has already demonstrated it can build faster and cheaper than its peers. Prologis started construction on more projects in the first half of 2026 than it did in all of 2025, it disclosed in its earnings release last week. Its net earnings per share rose 85% from the second quarter of 2025.

Prologis does not need Segro to grow. It wants Segro to accelerate its data center strategy and to consolidate European industrial market share. The bid is a capital allocation decision, not a survival move. That gives Prologis the luxury of patience. It can wait for Segro's board to feel the pressure of a fading premium.

The open question is whether a fourth bid arrives and at what price. Prologis has now bid three times in less than a month, each time higher. The pattern suggests it is willing to pay up to a point, but not beyond what its own shareholders will tolerate. Prologis shares were down about 2% in late Monday morning trading, a mild signal that the market sees the bid as accretive but not transformative.

For industrial REIT investors, the lesson is not about Prologis or Segro. It is about the cost of time in a consolidating market. When a well-capitalized buyer makes a credible offer, the seller's clock starts ticking. Every day the board says no, the premium becomes more fragile, the alternative paths narrower, and the pressure on management to deliver standalone results more intense.

Segro's board is not wrong to hold out for a better price. But it is betting that its shareholders value independence more than liquidity. The 21% share price jump suggests the market has already made its choice.

SOURCES

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<https://www.bisnow.com/national/news/industrial/segro-rejects-third-takeover-bid-from-prologis-seeking-even-sweeter-offer-135481>

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